

"Production-linked incentive scheme is expected to generate investments worth Rs 3.5–4 lakh crore over the next three to four years. It is fast-forwarding private investment in some key areas in the prevailing uncertain environment"

D.K. JOSHI, *Chief Economist, Crisil*

Q. The PLI scheme is said to be a path-breaker for prodding companies to become globally competitive. How would you rate the success of this scheme?

● **KUMAR:** Like other schemes, the PLI has success stories as well as not-so-good experiences. The success story is in electronics, where in a short span of time, we've seen the numbers turn around. In the last two years, there has been a phenomenal change in terms of exports of electronics. Maybe the China Plus One strategy is also working in favour of exports. We need to replicate that story across other sectors.

● **SABNAVIS:** We have always been told that giving subsidies to push output is not right. The industry must be able to stand on its own feet. Where the PLI is required is in the SME segment.

● **JOSHI:** Our assessment is that PLI is expected to generate investments worth Rs 3.5 to Rs 4 lakh crore over the next three to four years. It is fast-forwarding private investment in some important areas in the prevailing uncertain environment. One of the reasons why electronics is seeing good momentum is because the incentive to capex ratio is favourable. You need higher investments. Right now, success is in pharmaceuticals and electronics, and next in line are photovoltaic cells and auto components. The incentive is for production. If you don't produce, you don't get the incentives. So, it is a much superior scheme. Also, 70 per cent of the capex in this is likely to be green capex.

● **RANADE:** I have a counter-view. At a time when we're fiscally strapped, we're giving Rs 2.5-3 crore as incentives to some chosen industries that have not come through the competitive process. In the export numbers for electronics, how much is the value added? How much is the employment created? PLI can quickly become misguided. We need to make it something that is beneficial to employment creation and value-addition. Therefore, MSMEs, agro-processing, textiles and tourism, all need to be brought into the ambit, where the focus is on value addition and employment creation and not just the sales figures, because, for an iPhone exported out of India, 98 per cent is imported value. So, you're just importing to export.

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